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THE NEXT TIME you look at the stock market ticker and wonder which bull or bear is moving the Street, know that quite a few big-time investors also hunt in the multiverse. They are betting on the parallel world of yet-to-be-listed start-ups driven by entrepreneurs with dreams of changing the way we do things, talking of angels (investors) and fighting demons (of negative cash flows).

Some of these market veterans have seen 100x returns, some the gut-wrenching thrill of losing everything, and some are in it also because they can do all this while mentoring founders with an idea but no idea of running a business.

From legends such as the late Rakesh Jhunjhunwala to Vijay Kedia, Ashish Kacholia, Mukul Mahavir Agrawal, and Ashish Dhawan to Safir Anand and Ambareesh Baliga, all have invested in the start-up space. These big guns hunt for pure-play themes such as cybersecurity, 3D printing, fantasy games, hi-tech, insurtech, or shared office spaces, among others. All are hard to find in secondary markets. The lure? A start-up gives investors a chance to ride the innovation wave and make mind-boggling returns if it clicks.

And then debuts in the secondary market. Take this: the listing of India's first pure-play cybersecurity firm, TAC Infosec, turned Vijay Kedia and his son Ankit's angel investment of ₹45 lakh (for a 20% stake) into more than ₹40 crore in a little over six years when the firm debuted on the bourses in April 2024.

A RISKY PROPOSITION

Vijay Kedia, a Mumbai-based investor whose listed holdings were worth ₹1,650 crore as of May 24, 2024, is known for picking quality shares on stock exchanges at an early stage. His start-up portfolio shows he is bullish on AI firms, tutoring services, and manufacturers of fibre 3D printers, among others. Tracxn, which tracks start-ups from seeds to unicorns, says Kedia held an 8.69% stake in Onward Assist, an AI-powered platform for cancer diagnostics. He also has a 7.75% stake in Fabheads Automation, a manufacturer of fibre 3D printers, and a 5.49% stake in DheeYantra Research Labs, which offers conversational assistants that support Indian languages. DheeYantra posted a net profit of ₹6.9 lakh in FY23, its first-ever, against a loss of ₹79.9 lakh in FY22. Onward Assist posted a net loss of ₹1.06 crore, and Fabheads had a net loss of ₹6.11 crore in FY23.

But why invest in start-ups when you can play in the universe of listed firms? The challenge and the adventure, says Kedia, MD of Kedia Securities. "An individual investor requires a small amount to invest in a start-up. If the venture becomes successful, it may deliver 100x or multi-fold kind of returns. That is why I invest in start-ups," he says. Tracking and identifying start-ups helps him learn new things. "But the risk is huge. It is a zero or multi-bagger game. Every company looks

BUYING INTO THE BOOM



From the late Rakesh Jhunjhunwala to Vijay Kedia, Mukul Mahavir Agrawal, Safir Anand, and Ambareesh Baliga, all ace stock market investors are actively investing in start-ups



Pure-play themes, which are often hard to find in the secondary markets, have become favoured pursuits for such investors



For these investors the business idea should be solid, and the start-up should not be founded just for the sake of starting one



These investors say it is advisable to look at the problems the start-up wants to address



The biggest risk is of a start-up going belly-up. Other risks include liquidity, since an investor cannot exit at will